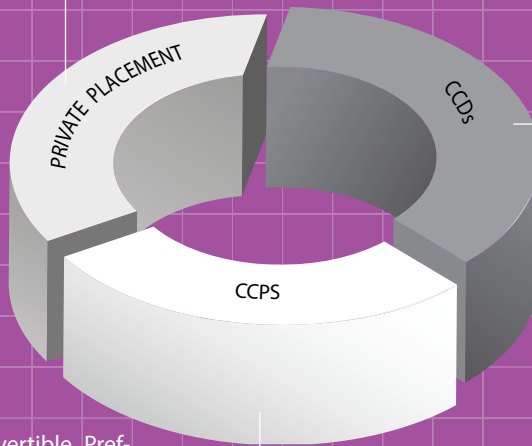


Once a verbal interest is received, one needs to finalise a deal structure before closure.

DEAL STRUCTURE MEANS
WHETHER IT IS:

A Private Placement,
i.e. equity in exchange of capital infused in the business.



Compulsorily Convertible Preference Shares (CCPS) are as preferred shares and will be converted into common equity after a point in time. The conversion number will depend on the company's performance one year or two years from now.

Compulsorily Convertible Debentures (CCDs) are debt but convert to shares over time.

Thus, the deal structure needs to be kept in mind.

The instruments used are important as there are many new instruments in use like iSAFE, etc. Investors can also as a debt round.

F

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